

Contract Intelligence

Taxonomy Reference

Clause Types · Contract Types · Extracted Entities

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1. Overview

This document defines the taxonomy used by the Contract Intelligence system. It covers nine enterprise commercial contract types, forty-six clause categories organized into eight groups, and the key entities extracted from each clause type. The taxonomy is grounded in CUAD v1 (41 lawyer-annotated categories) supplemented by gaps identified from WorldCC Most Negotiated Terms 2022, Ironclad, Agiloft, and Sirion industry benchmarks.

Clause sources are tagged throughout: CUAD indicates the category is directly from the open dataset; Added indicates a category identified as a material gap for commercial enterprise contracts that does not appear in CUAD.

2. Contract Types

The system recognizes nine enterprise commercial contract types. These cover the full spectrum of agreements typically managed by a legal or procurement team.

ID	Full Name	Description	Typical Use
NDA	Non-Disclosure Agreement	Governs exchange of confidential information before or during a business relationship	Pre-engagement, partnerships, M&A exploration
MSA	Master Service Agreement	Sets the overarching terms governing a long-term service relationship	Ongoing vendor or customer relationships
SOW	Statement of Work	Defines the specific deliverables, timeline, and cost for a single engagement under an MSA	Per-project scoping under an MSA
Purchasing	Purchasing / Procurement Agreement	Governs the purchase of goods or services at defined prices and volumes	Supply chain, procurement
Employment	Employment Agreement	Formalizes the employer–employee relationship including compensation and obligations	Full-time and part-time hires
Contractor	Independent Contractor Agreement	Defines the terms for engaging a self-employed individual or firm	Freelancers, consultants, agencies
SaaS/License	SaaS / Software License Agreement	Grants the right to use software under defined terms	Software vendors and enterprise buyers
DPA	Data Processing Agreement	Governs how one party processes personal data on behalf of another	GDPR compliance, cloud vendors
Partnership	Partnership / Teaming Agreement	Defines the terms of a joint business relationship or go-to-market collaboration	Resellers, joint ventures, alliances

3. Clause Groups & Clause Types

Clause types are organized into eight functional groups. Each clause entry shows its source (CUAD or Added), a plain-language description, and the structured entities the model is expected to extract when the clause is identified.

Group 1 — Identity & Dates

These clauses establish the basic facts of the agreement: who the parties are and when key dates apply.

Clause	Source	Description	Typical Extracted Entities
Parties	CUAD	Identifies the legal entities entering the agreement	Party name, legal entity type, jurisdiction of incorporation, registered address, role (Client / Provider / Buyer / Seller / Employer / Employee)
Agreement Date	CUAD	The date the contract was signed or executed	Date value (ISO 8601), signing location
Effective Date	CUAD	The date from which the contract's obligations take effect; may differ from the agreement date	Date value, trigger condition (e.g. upon counter-signature)
Expiration Date	CUAD	The date on which the initial contract term ends	Date value, duration of initial term
Governing Law	CUAD	Specifies the legal jurisdiction whose laws govern interpretation and enforcement	Jurisdiction (state / country), choice-of-law clause text

Group 2 — Commercial Terms

These clauses define the financial and commercial obligations between the parties.

Clause	Source	Description	Typical Extracted Entities
Payment Terms	Added	Defines amounts owed, payment schedule, and consequences of late payment	Amount, currency, frequency (monthly / quarterly / milestone), due date rule (e.g. Net 30), late-payment interest rate, payment method
Price Restrictions	CUAD	Caps, floors, or escalation rules on pricing	Price floor, price ceiling, CPI / index adjustment, escalation cap, effective date
Minimum Commitment	CUAD	Specifies a minimum purchase quantity or spend the buyer must meet	Minimum amount or quantity, unit, measurement period, consequence of shortfall
Volume Restriction	CUAD	Limits the maximum volume a party may order or supply	Volume cap, unit, time period

Clause	Source	Description	Typical Extracted Entities
Revenue / Profit Sharing	CUAD	Defines how revenues or profits are split between parties	Sharing percentage, calculation basis, payment frequency, audit right reference
Most Favored Nation	CUAD	Guarantees a party receives pricing or terms at least as favorable as any other customer	Scope of comparison, trigger condition, cure period, effective period

Group 3 — Duration & Exit

These clauses govern how long the contract lasts and how it may be ended.

Clause	Source	Description	Typical Extracted Entities
Renewal Term	CUAD	Defines the length and conditions of renewal after the initial term expires	Renewal duration, renewal type (automatic / manual), notice required to prevent renewal
Notice Period to Terminate	CUAD	The advance notice required to prevent auto-renewal	Notice period length, notice method (written / email), notice recipient
Termination for Convenience	CUAD	Allows either party to end the agreement without cause	Notice period, effective date of termination, wind-down obligations, compensation on early exit
Post-Termination Services	CUAD	Obligations that survive or continue briefly after the agreement ends	Duration of transition period, scope of services, pricing during transition, data return / deletion obligations

Group 4 — Liability & Risk

These clauses allocate financial and legal risk between the parties.

Clause	Source	Description	Typical Extracted Entities
Indemnification	Added	Requires one party to compensate the other for specified losses or claims	Indemnifying party, indemnified party, covered events (IP infringement / breach / negligence), exclusions, process requirements
Cap on Liability	CUAD	Limits the total financial exposure of a party	Cap amount, cap basis (e.g. fees paid in preceding 12 months), exclusions from cap (fraud, IP, data breach)
Uncapped Liability	CUAD	Identifies scenarios where the liability cap does not apply	Carve-out scenarios, parties covered

Clause	Source	Description	Typical Extracted Entities
Liquidated Damages	CUAD	Pre-agreed damages payable upon a specific breach	Trigger event, amount or formula, cap on liquidated damages, whether exclusive remedy
Insurance	CUAD	Requires a party to maintain specified insurance coverage	Insurance type (GL / E&O / cyber / workers comp), minimum coverage amount, additional insured requirement, certificate delivery obligation
Warranty Duration	CUAD	The period during which warranties on deliverables or software apply	Duration, start trigger (delivery / acceptance / go-live), scope of warranty, remedy for breach
Force Majeure	Added	Excuses non-performance due to extraordinary events beyond a party's control	Covered events list, notice period, mitigation obligation, right to terminate after extended force majeure

Group 5 — Confidentiality & Data

These clauses protect sensitive information and regulate data handling.

Clause	Source	Description	Typical Extracted Entities
Confidentiality / NDA	CUAD	Obligates parties to protect each other's confidential information	Definition of confidential information, exclusions, permitted disclosures, obligation duration (years after termination), return / destruction of information
Data Privacy / GDPR	Added	Governs the processing of personal data in compliance with applicable privacy law	Data controller, data processor, categories of personal data, data subject rights, retention period, cross-border transfer mechanism, sub-processor rules
Non-Disparagement	CUAD	Prevents parties from making negative public statements about each other	Scope of restriction, duration, permitted disclosures (e.g. legal proceedings), remedies

Group 6 — Intellectual Property

These clauses determine ownership and usage rights over intellectual property created or shared under the contract.

Clause	Source	Description	Typical Extracted Entities
IP Ownership Assignment	CUAD	Assigns ownership of created intellectual property to one party	Assignor, assignee, IP category (software / inventions / works), consideration, carve-outs (background IP)
Joint IP Ownership	CUAD	Establishes shared	Ownership percentage, commercialization

Clause	Source	Description	Typical Extracted Entities
		ownership of IP developed jointly	rights, cost-sharing arrangement
License Grant	CUAD	Grants rights to use intellectual property	Licensor, licensee, scope (field of use), territory, duration, exclusivity, sublicense right
Non-Transferable License	CUAD	Restricts the licensee from transferring the license to a third party	Restriction scope, permitted exceptions
Irrevocable / Perpetual License	CUAD	Grants a license that cannot be revoked or that has no expiry date	Scope, conditions that could affect perpetuity
Source Code Escrow	CUAD	Requires source code to be held by a third-party escrow agent	Escrow agent, release conditions (insolvency / EOL / breach), update frequency
Affiliate License - Licensor	CUAD	Extends a license grant to affiliates of the licensor	Affiliate definition, scope of extension
Affiliate License - Licensee	CUAD	Allows the licensee's affiliates to use the licensed IP	Affiliate definition, usage restrictions

Group 7 — Restrictive Covenants

These clauses limit certain activities of one or both parties during and after the contract.

Clause	Source	Description	Typical Extracted Entities
Non-Compete	CUAD	Prohibits a party from engaging in competing activities	Restricted activities, geographic scope, duration, carve-outs
Exclusivity	CUAD	Requires one or both parties to deal only with each other in a defined area	Exclusivity scope, territory, duration, consequences of breach
No-Solicit of Customers	CUAD	Prevents a party from soliciting the other party's customers	Duration, geographic scope, definition of customer, exceptions
No-Solicit of Employees	CUAD	Prevents a party from recruiting the other party's employees	Duration, definition of employee, exceptions (general job postings)
Covenant Not to Sue	CUAD	Each party agrees not to bring certain legal claims against the other	Scope of claims covered, duration, carve-outs
Competitive Restriction Exception	CUAD	Carves out specific activities from a broader non-compete or exclusivity obligation	Permitted competing activities, conditions, geographic or temporal limits

Group 8 — Governance & Operations

These clauses define how the contract is managed and disputes are resolved.

Clause	Source	Description	Typical Extracted Entities
Dispute Resolution	Added	Establishes the process for resolving disagreements between the parties	Method (negotiation / mediation / arbitration / litigation), venue, governing rules (AAA / ICC / JAMS), language, seat of arbitration
Change of Control	CUAD	Addresses what happens if one party undergoes a change of ownership	Trigger definition (acquisition / merger / IPO), consent requirement, termination right, notice period
Anti-Assignment	CUAD	Restricts a party's ability to assign the contract to a third party	Consent requirement, permitted exceptions (affiliates / restructuring), deemed-assignment triggers
Audit Rights	CUAD	Grants one party the right to audit the other's compliance	Auditor (internal / third-party), frequency, notice period, cost allocation, scope of audit
SLA / Service Levels	Added	Defines measurable performance standards and remedies for failure	KPI names, targets, measurement period, credit mechanism, exclusions, termination right for persistent failure
Third Party Beneficiary	CUAD	Identifies third parties who can enforce rights under the contract	Beneficiary name or class, rights conferred, limitations
ROFR / ROFO / ROFN	CUAD	Gives a party preferential rights before a sale or deal is offered to others	Right type, triggering event, exercise period, valuation method, exclusions

4. Presence Matrix Summary

The full clause × contract-type presence matrix (Core / Optional / Not Applicable) is maintained in contract-taxonomy.json alongside this document. Core indicates a clause is typically always present and material; Optional indicates it appears in many but not all contracts of that type; Not Applicable indicates the clause type is rarely or never relevant.

An interactive HTML version of the matrix (taxonomy-matrix.html) provides filterable views by clause group and per-contract-type core-clause counts.

5. Sources

- CUAD v1 — Contract Understanding Atticus Dataset, The Atticus Project / NeurIPS 2021 — <https://github.com/TheAtticusProject/cuad>
- WorldCC Most Negotiated Terms 2022 — <https://www.worldcc.com>

- Ironclad — Important Contract Clauses — <https://ironcladapp.com>
- Agiloft — Out-of-the-box Obligation Management categories — <https://www.agiloft.com>
- Sirion — Clause Extraction Benchmark 2026 — <https://www.sirion.ai>